

while you are sitting on the couch reading, or listening to this book in your car—let’s quantify the damage it can do.

Panic selling quantified

The easiest button to press is the one marked “**Sell.**” It’s a salve for your emotional distress, especially when facing volatile, disruptive stock markets. Panic selling might ease your upset stomach or help you sleep better, but it wreaks havoc on your portfolio.

The single biggest challenge of panic selling equities: *How do you get back in? When? What determines your repurchase decision? What metrics do you base this **Buy** upon?*³¹¹

My experience with panic selling was deeply influenced by the investor behavior I observed firsthand during the 2008–09 financial crisis, the 2000 dotcom implosion, and the 2020 pandemic sell-off. (Other asset managers have had similar experiences.)

It’s more than mere anecdotal—we have hard evidence to back up what makes panic selling so bad.

A very interesting study³¹² examined what happened when freaked-out investors panic-sold. The study was based on “the financial activity of 653,455 anonymous accounts corresponding to 298,556 households from one of the largest brokerage firms in the United States.”

An amusing finding: “Investors who are male, or above the age of 45, or married, or have more dependents, or who self-identify as having excellent investment experience or knowledge tend to freak out with greater frequency.”³¹³

But that buries the lede. The more important issue is what those investors who panic-dumped their equity portfolios did subsequently. The most important takeaway from this research: “We find that 30.9% of the investors who panic sell never return to reinvest in risky assets.”